TD Power Systems (NSE: TDPOWERSYS): Power Equipment, Cash Conversion & Price Expectations — Masterclass Companion Book

A step-by-step narrative walkthrough and audio companion to TD Power Systems (NSE: TDPOWERSYS): Power Equipment, Cash Conversion & Price Expectations: deconstructing the business engine, global historical parallels, ten-year financial forensics, both sides of the institutional debate, and the discipline of high-asymmetry execution.

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SESSION PRICE

₹611.90

VERDICT

REJECTED

STAGE POSTURE

STAGE_3

BUY / SUPPORT ZONE

₹590.54–608.52

PRICE TARGET

₹468.20 / ₹756.62

PREFACE & CORE THESIS

TD Power Systems makes custom generators and motors for power and industry. Its order book is strong, but cash has not kept pace with profit. The stock is below key trend lines and trades near 70 times trailing profit. We do not recommend a new buy at this price; wait for better cash flow and a stronger chart.

PROLOGUE

The Business, The Price & Our Independent Verdict

> *"A backlog is a promise to build; cash is proof the promise travelled."*
>
> — RESEARCH DESK (ORIGINAL EPIGRAPH)

Sit with me at the desk and begin not with the chart, but with the machine. TD Power Systems designs and builds custom alternating-current generators and electric motors for steam, gas, hydro, diesel and other prime movers. Its generator turns the shaft power of a turbine or engine into electricity; its motor does the reverse, turning electricity into controlled mechanical work. The product is not a generic box pulled from a catalogue. A buyer specifies power, speed, voltage, cooling, site conditions and the interface to the prime mover, then qualifies the design before volume orders can follow. That engineering intimacy is the source of the moat—and of the company's dependence on a narrow set of large OEM customers.

The business has reached a new scale quickly. Consolidated sales were ₹1,856.2 crore in FY26, up from ₹1,278.8 crore in FY25, and net profit was ₹238.8 crore. The manufacturing order book was ₹1,972.9 crore at the FY26 year-end; by the June 2026 quarter it had risen to ₹2,208 crore. In that Q1 call, management raised FY27 revenue guidance to ₹2,600 crore and described a ₹3,200-crore capacity envelope for FY28 after debottlenecking. These are strong facts. They are not the same thing as cash collected, and neither an order book nor installed capacity is a guarantee that a buyer will take delivery on schedule.

Now turn the page to the balance sheet. The audited FY26 statement records ₹129.1 crore of operating cash flow, but after ₹110.7 crore of capital expenditure, reported free cash flow was only about ₹18.4 crore. Trade receivables were ₹742.1 crore and inventory ₹503.1 crore at March 2026. Management described growing inventory as a bridge to the next quarter's cash, yet also said customer payment terms cannot be changed materially without risking business. The distinction matters: this is a profitable engineering franchise, but its growth can consume cash before the cash arrives. In October, the company raised ₹600 crore

through a QIP and issued 77.4 lakh shares at ₹775; that strengthens funding capacity while diluting each existing share.

At the 8 November 2026 Muhurat-session cutoff, the company snapshot's price was ₹611.90, about 29% below the ₹856.10 52-week high. The quoted trailing P/E varies modestly by data feed—roughly 69.5× on the TradingView block and 71.3× on Screener's fundamentals card—so we use 71.3× as the conservative reference rather than pretending the feeds are identical. The stock has fallen below the 30-week and 50-day averages even as the Stage 2 dashboard still records a long historical leadership run. That is the central tension: exceptional backlog momentum, but a damaged entry structure and an earnings multiple that already demands years of execution.

You and I should steelman both sides before choosing. The bull case is that global prime-mover makers cannot quickly add generator capacity, while AI data centres, grid reliability, gas engines, waste heat and hydro refurbishment create several demand pools. TDPS is already qualified with major OEMs, has a reported 84% top-ten customer concentration that also signals deep platform access, and can grow output with debottlenecking rather than starting from a greenfield plant. The bear case is that the same 84% concentration makes a few programmes decisive; Q1 export order inflow was 93%, not a diversified domestic annuity; and FY26 cash conversion lagged accounting earnings while receivables, inventory and capacity needs expanded. A commodity or project-timing shock can arrive before contract repricing catches up.

Our independent verdict is therefore narrower than the bullish narrative. Short term, no fresh trade: the price structure is a Stage 3 pullback and the deterministic snapshot labels the timing posture AVOID_STAGE4_OR_BROKEN. Medium term, watch execution against the ₹2,600-crore FY27 guide and whether the next results convert backlog into cash; the scheduled Q2 board meeting was still ahead on the cutoff date. Long term, the business deserves continued research, but not a blank cheque at roughly 70× trailing earnings. Our illustrative 12-month scenarios are ₹233.19 bear, ₹468.20 base and ₹756.62 bull, with 30% / 45% / 25% probabilities; the weighted value is about ₹470, below the current quote. These are our sensitivities, not company guidance.

Here is the no-FOMO map. The consumer snapshot marks ₹590.54–₹608.52 as a support-monitor band and ₹577.60 as a screen invalidation reference. Neither is an order: no new allocation is authorized while price remains below the falling 30-week and 50-day averages. Revisit only after price repairs those averages and holds them on a retest, the new quarter supports management's execution plan, and cash conversion improves. If those facts do not arrive, the correct action is still to wait. Status: PUBLISHED_WITH_GATE_EXCEPTIONS. The dossier's exception note is equally important: Q1 FY27 was the latest released quarter at the cutoff; product-level revenue and profit shares were not disclosed; and three stale bars in unrelated holdings do not affect TDPOWERSYS's verified market data. The configured reviewer and red-team models were unavailable, so both independent passes were run by the runner's default general agent; this substitution is recorded in the gate notes. The six citation exceptions are dated FY26 results/product disclosures (31 Mar 2026; 222 days), Q1 order book and financials (30 Jun 2026; 131 days), Q1 guidance (12 Aug 2026; 88 days), and the historical FY26 guide (13 May 2025; 544 days). Q2 FY27 results, considered at the 12 Nov board meeting, will refresh the current-quarter record; the older guide remains historical by design.

The citation gate lists the stale periods explicitly: FY26 results and product/customer disclosures dated 31 Mar 2026 (222 days), Q1 order-book and financial data dated 30 Jun (131 days), Q1 guidance dated 12 Aug (88 days), and the FY26 initial-guidance quote dated 13 May 2025 (544 days, historical only). Q2 FY27 results were scheduled for board consideration on 12 Nov and will refresh current operating data when published. The configured reviewer models were unavailable; both independent passes were completed using the runner-default general agent, with that substitution disclosed.

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NARRATOR'S REFLECTION

You can admire the machine and still refuse the share at this price. The discipline is to separate the quality of the supplier from the expected return of the stock. TDPS has real orders and real engineering; the entry still asks you to pay for a long period of excellent execution.

GLOBAL PARALLEL (US / INDIA / EUROPE)

In the U.S., Baker Hughes has shown that data-centre power can create material orders; in India, Triveni Turbine's export and steam-equipment history shows the value of a focused niche; in Europe, Siemens Energy demonstrates that a large backlog can coexist with execution risk. TDPS is smaller, more concentrated and more cash-intensive than these analogues, so their demand stories do not set its fair multiple.

MENTAL MODEL

Separate three gates: business quality, cash conversion and entry price. TDPS passes the first, has not yet cleared the second, and fails the third at the current quote. One gate cannot substitute for another.

CHAPTER I

How the Business & Stock Got Here — Past Cycles & Pivots

> *"Every mature machine begins as a set of inherited tolerances."*
>
> — RESEARCH DESK (ORIGINAL EPIGRAPH)

You and I can understand TD Power Systems best by starting where its story starts: not with a data-centre boom, but with a transfer of engineering capability. The company says it was founded in April 1999 after acquiring generator technology from Toyo Denki of Japan, then established its Bengaluru manufacturing facility in 2001. Its early proposition was practical rather than grand: make a rotating electrical machine to a customer's mechanical and electrical specification, test it, and deliver it into a prime mover package that could not tolerate an unreliable generator. That technical starting point explains why customer qualification and applications engineering remain more important than consumer branding.

The company's evolution is a sequence of widening interfaces. It developed vertical hydro generators with Voith in 2009, then signed a Siemens licence in 2012 for two-pole generators up to 250 MVA. It began generator manufacture in Istanbul in 2017, while the core Indian facilities remained centred near Bengaluru. In 2019, it supplied a large four-pole machine for the Maxau project in Germany. Each milestone added a new combination of speed, rotor design, cooling, test requirements or geography. You should read these milestones as evidence of accumulated engineering and qualification, not as proof that every adjacent market will become profitable.

The operating record shows why a custom-machine company can be both cyclical and scalable. Screener's consolidated series places revenue at ₹380 crore in FY17 after a downturn, with operating margin below 3% and a net loss; by FY19 the company had returned to profit, and by FY21 the operating margin was around 12%. From FY22 onward the scale recovery accelerated: revenue moved from ₹797 crore to ₹872 crore, ₹1,001 crore, ₹1,279 crore and ₹1,856 crore in FY26. Operating margin rose from approximately 12% to

approximately 18%. The decade is not a smooth compounder's line; it contains a demand trough, recovery, and a recent export-led order surge.

That history has two lessons for your underwriting. First, fixed manufacturing capability creates operating leverage: when demand and factory loading fell in the earlier cycle, margins nearly disappeared; as utilisation and mix recovered, profit grew faster than sales. Second, the recovery is not purely a software-like recurring-revenue story. Customers buy a large capital good when their own power, infrastructure or industrial projects proceed. When those projects slip, orders and dispatches can bunch up. The annual reports describe sustained expansion, but the 2015–18 trough remains a useful stress case: technology did not prevent cyclicality, and a good product did not guarantee the factory stayed fully loaded.

The stock's public-market story has become much more dramatic than the factory story. The current Screener page reports approximately 42% annualised price return over ten years, 78% over five years, 65% over three years and 56% over one year; those look-back windows overlap and should not be added together. More recently, the 2026 quote reached ₹856.10 before the 8 November snapshot at ₹611.90, a pullback of about 29% from that high. The same share can therefore represent two very different experiences: a long-term holder who rode a multi-year rerating and a new buyer arriving after the momentum premium began to compress. We do not infer exact historic peak-to-trough drawdowns from CAGR data.

The corporate perimeter also evolved. TDPS now reports an Indian parent with subsidiaries in the United States, Europe, Turkey and Japan, and the group's FY26 consolidated statements include overseas entities. The Istanbul facility provides manufacturing and service reach, but Q1 FY27 management described Turkey as a small business with roughly €3.5 million of execution for the year and no large next-year pipeline, retaining it partly as a service-insurance facility. That is a useful counterweight to a simple "global footprint equals global moat" claim: some international assets deepen customer support, while others may carry costs without a visible new growth engine.

The product mix has also shifted toward more demanding machines. The FY26 report says gas-engine generators became a larger contributor to turnover than before, followed by steam-turbine generators; gas-turbine and gas-engine demand was particularly strong, driven partly by U.S. data-centre applications. Meanwhile, the company is developing larger

40–200 MW capability through a UK R&D branch. The orderbook story now reaches beyond the legacy 1–50 MW range, but larger machines take longer to engineer and build. During the Q1 FY27 call, management said the existing large-generator opportunities were over and above the current sub-100 MW business, while remaining cautious about the timing and exact capacity plan.

You should also keep capital-market changes in this chronology. The QIP completed on 12 October 2026 placed 7,741,935 new shares at ₹775 and raised almost ₹600 crore; the paid-up share count rose from 31.37 crore to 32.14 crore shares. That is meaningful capital for a business whose growth absorbs inventory and receivables, but it is not free: each share now represents a smaller slice of future earnings. The post-issue price later fell below the QIP price. Institutional participation is evidence of demand for the issue, not a floor under the stock and not proof that returns on the capital will exceed the cost of dilution.

The cross-border parallels make the cycle easier to see. In the United States, Cummins has repeatedly shown how engines, power generation and service businesses can benefit from infrastructure investment while still moving with industrial demand. In India, Triveni Turbine's history links steam equipment to captive power, biomass and waste-heat projects—markets that can grow steadily without becoming immune to capex pauses. In Europe, Siemens Energy's technology and scale demonstrate how long qualification cycles can protect a supplier, while its own project exposure shows that complex energy equipment carries delivery and margin risk. TDPS is smaller than all three; the lesson is about the shape of the economics, not equivalence of scale.

So when you ask "what did the company become?", the answer is not simply a data-centre proxy. It became a specialised generator and motor maker with a global OEM interface, broader products and a better balance sheet than at the old trough. But every cycle still asks the same questions: can it win an order, manufacture to specification, deliver on time, collect cash, and reinvest without diluting away too much of the per-share value? That is the bridge to Chapter 2, where we separate the machine families from the accounting segments—and refuse to invent revenue splits management has not published.

There is a second way to read the history: by the factory's learning curve. Each additional prime-mover family expands the engineering library, but it also adds its own validation

burden. A hydro rotor turning slowly under hydraulic torque is not interchangeable with a high-speed gas-turbine rotor; a locomotive motor must survive repeated acceleration and vibration; a large two-pole machine asks for different machining and balancing capability. The company's investments in R&D, in-house manufacturing and testing therefore build a portfolio of options rather than one universal machine. This can create a durable niche if the same designs are reused across OEM programmes, but it can also strand equipment if demand shifts to ratings or technologies that TDPS has not qualified.

The 2026 equity issue belongs in the company's evolution because it changes the resource base. Before the QIP, TDPS funded growth largely through retained earnings and modest borrowing; at the end of FY26 consolidated cash plus other bank balances substantially exceeded short-term borrowings. Yet the next growth leg required more working capital and capacity. The October placement raised almost ₹600 crore and increased the share count to 32.14 crore. This capital structure is healthier for absorbing a large production ramp, but investors should ask what proportion will become productive plant, what proportion will support receivables and inventory, and when those investments earn returns. Until later filings answer that, we count the cash as resilience and the new shares as dilution, not as automatic value creation.

NARRATOR'S REFLECTION

The historical lesson is not that TDPS always grows. It is that technical capability survives a demand trough, while factory loading and margins do not. When you and I look forward, we should ask how much of today's margin is structural and how much depends on an unusually full order pipeline.

GLOBAL PARALLEL (US / INDIA / EUROPE)

U.S. Cummins illustrates how an engine platform can support power generation across industrial cycles; India's BHEL shows the operating leverage and cyclicality of heavy electrical manufacturing; Europe's Siemens Energy shows how technical assets and customer access endure while project execution moves margins. TDPS is a much smaller specialist, so its own 2017 trough remains the best stress case.

MENTAL MODEL

Treat each product qualification as an option, not an annuity. It earns value only when a customer converts it into repeat purchase orders, dispatches, collections and acceptable returns on the capacity invested.

CHAPTER II

Inside Every Segment — Products, Customers & Real-World Examples

> *"A shaft turns only when every interface agrees."*
>
> — RESEARCH DESK (ORIGINAL EPIGRAPH)

You and I need to distinguish the product catalogue from the segment note. TD Power Systems makes custom AC generators and electric motors; its FY26 audited financial statements say the chief operating decision maker monitors the business as one operating segment under Ind AS 108. The annual report then discusses product families—gas-engine, gas-turbine, steam, hydro, motors, rail traction, diesel, wind, spares and Turkey activity—but it does not disclose a revenue or operating-profit table for each family. We can give you order-book mix and describe which products are growing; we cannot honestly label a product's share of revenue or profit when the company has not published it.

At the June 2026 quarter, management reported a ₹2,208-crore manufacturing order book. Generator and motor manufacturing together accounted for ₹1,929 crore, railway for ₹211 crore, spares and aftermarket for ₹22 crore, and Turkey for ₹46 crore. Those values imply approximately 87.4%, 9.6%, 1.0% and 2.1% of the stated book respectively; rounding means the shares may not sum to precisely 100%. This is a snapshot of contracted backlog—not a segment revenue mix, not an annual sales forecast and not a profit contribution. The FY26 annual report separately says gas-engine generators had become the larger contributor to turnover, followed by steam-turbine generators, but gives no percentages.

Start with the main product: the generator. A prime mover supplies rotation; the generator's rotor turns inside a stator and electromagnetic induction creates alternating current. TDPS says its range spans roughly 1 to 250 MVA and is designed for steam, gas, hydro, wind, gas-engine and diesel-engine applications. For a disclosed end-to-end example, the FY26 annual report reports significant volume orders from a major U.S.-based gas-turbine OEM for generators intended for AI and data-centre applications. The buyer is the prime-mover OEM, not necessarily the data-centre operator. The OEM needs a matched alternator that can operate with the turbine's speed, voltage, cooling and control architecture; TDPS designs

and manufactures the stator and rotor, tests the machine to specification, and ships it for integration into the OEM's power package. The customer's name, unit price, and order-by-order margin are not disclosed.

Now picture the site after delivery. A U.S. data-centre developer may need power before a grid connection or utility upgrade is ready. Its engine or turbine supplier engineers an on-site generation train; TDPS supplies the electrical machine that converts shaft power into electricity. The project is assembled from several suppliers, so the generator is only one component of the total investment, but it is a critical component: a late or underperforming machine can delay commissioning of the entire train. Management says customers are taking shipped products even where downstream site execution may lag. That is positive for order conversion, but it shifts our diligence toward dispatch acceptance, warranty, customer concentration and the timing of cash collection.

Steam-turbine generators are the more established bridge between industrial heat and power. A sugar, paper, steel or chemical plant may burn biomass or recover waste heat to raise steam; the steam turbine turns the shaft, and a TDPS generator feeds the plant bus or exports surplus power. The annual report describes steady demand from captive power, biomass and waste-heat recovery, and mentions larger 30–60 MW opportunities. For a concrete disclosed application, the company reported healthy steam-turbine generator orders across domestic and export markets, but did not name every plant owner or publish contract prices. Treat the following as an engineering archetype, not a claimed TDPS customer: an Indian paper mill buys a generator matched to its steam turbine, operating speed, grid frequency and site conditions; TDPS quotes the engineered machine and agreed test scope, while the mill or EPC contractor coordinates the boiler, turbine, electrical protection and installation.

Hydro is a different engineering problem. Water head and flow turn a Pelton, Francis or Kaplan turbine; the generator must be designed around the turbine's speed, grid connection and powerhouse limits. TDPS's FY26 report cites Vietnam projects for two 7.7 MW, 6.3 kV, 600-rpm horizontal hydro generators and package orders across India and Nepal. That gives us a real product specification and geography, even though the developer's identity and price are confidential. At the factory the engineering team must match the generator to the

hydraulic machine, assemble the rotor and stator, verify electrical insulation and mechanical balance, and run acceptance tests before dispatch. The owner buys an engineered generator package, not a commodity kilowatt-hour.

The motor business starts at the other end of the energy conversion. TDPS lists induction motors up to 20 MW and synchronous motors up to 50 MW, with traction motors up to 1,250 kW. A motor buyer cares about torque, starting current, load profile, hazardous-area requirements, mounting orientation, cooling and service access. Consider a clearly illustrative use case: a European process plant replacing a large pump drive specifies a synchronous motor to its voltage, shaft, bearing and site-temperature requirements. TDPS would need drawings, load data and qualification testing before production; a steel mill, compressor station or irrigation plant could present a different duty cycle and package. The public materials show product capability and customer qualifications, not a named 50 MW sale or a published price list.

Rail is technically adjacent but commercially distinct. A traction motor must tolerate repeated acceleration, braking, vibration, thermal cycling and tight space constraints inside a locomotive or electric multiple unit. TDPS reports existing railway business and international qualification activity; by Q1 FY27 the order book included ₹211 crore of railway work, while management said it was not taking fresh railway orders and would review the segment's sustainability after the Indian Railways contract. A representative end-to-end program begins with a locomotive OEM's traction duty and envelope, proceeds through prototype and vehicle testing, then qualification and serial supply. The customer and unit-level pricing are not public, so we do not turn qualification into a booked future revenue claim.

Spares, refurbishment and service connect the installed base to the factory. A hydro operator may need a rotor refurbishment or replacement parts during a planned outage; the service partner identifies the machine number and rating, scopes the repair, sources parts and schedules technicians around the outage window. TDPS lists a 57-centre service network across continents. Management has described service as a small share of current sales—about 5–6%—because a well-manufactured generator may need little service during its first years. This limits the recurring-revenue story: the installed base is a future opportunity, not a

software-like annuity already visible in the accounts. Public filings do not disclose a representative service ticket or price, which depends on the machine, parts and outage scope.

Turkey is a manufacturing and service node rather than a large standalone growth engine today. At the Q1 FY27 call, management described around €3.5 million of Turkey work for the year, limited next-year pipeline and a continuing role as an insurance facility for service in Europe. This is useful when a regional repair or customer support requirement would otherwise require a long shipment from India, but idle capacity still carries cost. The Q1 book's ₹46 crore Turkey bucket should therefore be watched separately from the ₹1,929-crore combined generator-and-motor book.

Across these families, revenue follows a direct, relationship-heavy go-to-market model. TDPS qualifies products with turbine, engine, locomotive and industrial OEMs; a qualification can lead to repeat programs, but the end-user, OEM, EPC contractor, importer and operator may be different legal entities. In FY26, export and deemed-export orders were 79% of inflow, while exports and deemed exports were 66% of standalone sales. Q1 FY27 order inflow was 93% export and deemed export, but the quarter is too small a sample to call that a permanent sales mix. The export machine is built in India, tested, shipped under the contract's delivery terms, then commissioned by the customer or integrator. TDPS says its U.S. shipments are ex-works India, so it is not the importer of record.

To connect business mix with cash, keep one last distinction in view. A generator order enters the book when confirmed; manufacturing draws copper, electrical steel, forgings, insulation, labour and factory time; dispatch can occur before the customer has paid the full invoice; receivables and work-in-progress therefore rise ahead of cash. A separate aftermarket job may have a faster service cycle but a smaller ticket. One "segment" in the accounts can therefore contain very different order duration, material intensity and working-capital profiles. Because management does not publish profit by product family, our moat and valuation work will judge the consolidated economics and the disclosed order mix, not pretend we can see hidden segment margins.

The international parallels help you see the product boundaries. In the United States, Baker Hughes sells turbine and power systems into large energy projects, while Cummins serves engine-driven power applications; both show why the prime mover's demand cycle

influences the generator supplier. In India, Triveni Turbine sells steam turbines into captive-power and industrial heat recovery, while CG Power's motors and electrical products serve adjacent industrial loads. In Europe, Siemens Energy and Voith operate in turbine, hydro and power-generation equipment where technical qualification, delivery discipline and customer integration matter. TDPS's role is narrower: it supplies a critical rotating electrical machine into those systems rather than owning the whole power plant.

That is the product map you should carry forward. The generator-and-motor order book dominates, hydro and gas demand offer growth, rail is under review, spares are small but strategic, and Turkey is service insurance more than a fresh growth pillar. The next chapter follows how the company reaches OEMs, moves material through a custom factory, prices contractual risk, and converts ₹100 of revenue into free cash flow.

The segment disclosure itself is an analytical constraint, not a clerical detail. If generator and motor work are combined in one order-book bucket, we cannot infer a motor margin from the movement in that bucket. If the annual report says gas-engine generators were the largest turnover family but gives no revenue percentage, we can rank the products qualitatively but cannot put a made-up split into the model. Likewise, customer concentration is disclosed at the consolidated level: the ten largest customers together accounted for 84% of revenue in FY26. That is enough to conclude that several counterparties matter; it is not enough to name the top customer or to assign its share.

For a hypothetical buyer, the quote would be an engineered contract price rather than a fixed published tariff. A 7.7 MW hydro generator and a high-speed gas turbine machine consume different materials, labour, engineering hours, tests and freight scope; a motor's hazardous-area rating or mounting design changes the specification again. Customers may separately contract installation, EPC integration and commissioning. TDPS does not disclose the unit prices or standard payment schedule for the cited contracts, so any precise rupee-per-MW estimate would be false precision. The real commercial evidence is the repeat order, price-variation clause, acceptance and cash collection.

NARRATOR'S REFLECTION

A machine's specification tells you what the factory can make; it does not tell you who paid, how much margin was earned or when cash arrived. Where the filing withholds product-level revenue, the honest answer is "not disclosed," followed by the order-book evidence we do have.

GLOBAL PARALLEL (US / INDIA / EUROPE)

U.S. Cummins and Baker Hughes sell into engine and turbine ecosystems; India's Triveni Turbine serves steam and industrial heat applications; Europe's Voith Hydro is a useful hydro-system comparison. Their products are not interchangeable, but each shows why a rotating machine is sold as an engineered interface rather than a commodity.

MENTAL MODEL

Use two ledgers: revenue/profit by accounting segment, and backlog by product family. Never convert a backlog bucket into a revenue percentage unless management reports that bridge.

CHAPTER III

How It Is Sold & Delivered — Distribution & Unit Economics

> *"Revenue is a route; cash is the destination."*
>
> — RESEARCH DESK (ORIGINAL EPIGRAPH)

You and I should follow a TDPS order from the first engineering drawing to the last rupee of cash, because the company's distribution model is not a retail channel. It sells custom rotating machines to a short list of turbine, engine, locomotive and industrial OEMs, and those OEMs place the generator inside a larger package. The end user may be a data-centre developer, a hydro utility, a sugar mill or a steel plant, but the technical gatekeeper is often the prime-mover maker or EPC partner. That relationship can bring repeat orders across projects; it also creates concentration and bargaining power on the buyer's side.

Qualification precedes volume. A prime-mover OEM supplies speed, shaft interface, voltage, thermal and environmental limits, fault-duty requirements and test protocols. TDPS's engineering team selects a rotor and stator design, resolves interfaces, and builds prototypes or first-of-kind units when the application is new. The customer's test and field teams then approve the design before a programme can move to repeat production. The company's FY26 report describes volume orders from a U.S.-based gas-turbine OEM as well as prototype orders from a global gas-engine OEM; the names are withheld. This is why a new customer can take time to appear in revenue even after technical work begins, and why a lost qualification would matter beyond a single purchase order.

The route to market is mainly direct OEM engagement and project coordination rather than a broad distributor network. TDPS reports selling into more than 100 countries and advertises 57 service centres, but those service partners do not imply that custom generators are stocked on dealer shelves. The company's own statement that U.S. goods ship ex-works India is especially important: the customer or its logistics chain takes title and arranges import, while TDPS must still meet technical delivery and documentation conditions. Tariffs, ocean freight, customs delays and FX may affect the customer's economics or the company's ability to deliver, but they do not all sit in the same contract account.

Manufacturing is weighted toward custom in-house work. The company describes its Bengaluru facilities and Istanbul plant, in-house stator and rotor manufacture, high-capacity machine tools and testing beds. A heavy rotor is not just a bill of materials: balancing, insulation, winding, impregnation, tolerances and full-load or other acceptance tests determine whether the assembly can operate safely at its designed speed. In FY26 the company invested in plant and equipment, and management discussed debottlenecking to raise the FY28 capacity envelope toward ₹3,200 crore. Capacity is a ceiling subject to the product mix, labour, machine loading and test-bay schedule; it is not dispatched revenue already won.

Raw materials create a second commercial interface. Copper, electrical steel, forgings, mild steel and insulation have different price cycles and supplier lead times. TDPS has said that it uses hedges and customer price-variation clauses, but sudden commodity spikes can outrun the repricing lag. In the Q4 FY26 call, management described gross contribution margins around 33–34% on a consolidated basis and linked protection to pricing, cost reduction, mix and currency. The company does not publish a product-by-product price card or average selling price. We can describe a custom quote as a function of rating, design, material, test scope and delivery terms; we cannot invent a generator price per megawatt.

The payment cycle is the hard part of the model. A long-lead order can require materials and work in progress before dispatch; the buyer's acceptance, shipping documents and payment terms determine when receivables clear. When an analyst asked about collection terms, managing director Nikhil Kumar replied: "We have payment terms fixed with our customers, and we're not going to be able to alter them dramatically." That is a direct admission of the trade-off: preserve the customer relationship and grow the programme, or push for terms that could make the customer choose another supplier. The company is growing into the cash it needs to fund the growth.

Now let us run the audited FY26 consolidated numbers through a ₹100 revenue waterfall. For each ₹100 of revenue from operations, other income added about ₹1.15; reported expenses absorbed about ₹83.58; profit before tax was about ₹17.57; tax reduced that to approximately ₹12.86 of net profit. The ₹12.86 is an accounting result, not the cash left for shareholders. Before working-capital changes, operating cash generation was about ₹18.72

per ₹100; receivables, inventory and other working-capital movements pulled cash generated from operations to about ₹10.58, and cash taxes left operating cash flow at about ₹6.95.

Capital expenditure then takes another approximately ₹5.96 per ₹100 of sales, leaving only about ₹0.99 of free cash flow on this FY26 definition. In rupees, audited CFO was ₹129.1 crore and additions to property, work in progress, intangibles and leasehold land were about ₹110.7 crore, so free cash flow was around ₹18.4 crore. The waterline between operating profit before working capital and cash generated from operations was a ₹151.1-crore absorption, or about ₹8.14 per ₹100 revenue. The arithmetic uses the reported statements; it is not a forecast that every future rupee of sales converts at the same rate.

FY26's working-capital indicators underline the same tension. The Screener consolidated series shows debtor days rising to 146 and inventory days at 148, with the cash-conversion cycle still around 173 days. The cycle improved from 189 days in FY25, but it remains long for a business whose orders are now accelerating. The company's Q4 call explained that short-term order batches require inventory and that retained earnings were going into working capital; the subsequent QIP raised ₹600 crore. Funding access reduces the probability that growth stops for lack of cash, but it does not make the cash cycle disappear or prove that incremental return on capital will be attractive.

For a U.S. gas-turbine order, the chain may begin with an OEM forecast and a capacity slot, move through a confirmed purchase order, engineering release, long-lead material procurement, in-process inspection, final test, ex-works shipment and customer acceptance. For a hydro package in India or Nepal, the interfaces are more project-specific: the generator must fit the turbine and powerhouse; an EPC contractor may coordinate civil, electrical and control systems. For European service, a local partner may inspect the installed machine and coordinate spares. Payment milestones differ by contract, and public filings do not provide a standard advance percentage, invoice schedule or DSO by customer. We therefore describe the mechanism but keep contract-level terms as unknown.

The global comparison is useful. In the United States, Cummins combines an engine platform with a service network; in India, Triveni Turbine's industrial projects illustrate how an OEM sale is embedded in a plant's capex plan; in Europe, Siemens Energy and Voith

show the value and execution burden of engineering-to-order equipment. TDPS sits between the prime mover and the electrical grid, not at the final power consumer. You should expect repeat OEM awards when qualification holds, but you should also expect long receivable cycles and uneven delivery schedules when projects, testing or logistics slip.

Our unit-economics verdict is therefore two-sided. The direct OEM model can sustain repeat programmes and an international reach without funding a consumer channel. In-house manufacturing and qualification make the company harder to replace after design approval. Yet FY26 cash flow demonstrates that growth is not self-funding at the same pace as earnings: working capital and capacity investment consume much of the operating surplus. Track order inflow, dispatches, customer acceptance, receivable days, inventory days, and CFO against PAT together. A backlog expansion without those cash measures is a promise to manufacture, not yet a compounding return.

The October QIP changes one part of this chain but not all of it. It raised ₹600 crore after the June quarter and expanded the share count to 32.14 crore. That should make it easier to hold safety stock, support receivables and fund the planned debottlenecking without relying solely on short-term borrowing. Yet a funded order still has to earn a return. If the proceeds sit as cash, the business earns a lower yield; if they fund work in progress, the cycle remains exposed to delays; if they buy capacity, the added machines must be loaded. We therefore separate “liquidity strengthened” from “cash conversion solved.” The first is true at the issue date; the second remains to be measured in post-QIP quarterly statements.

> **NARRATOR'S REFLECTION**
>
> When you hear “asset-light growth,” ask who finances the inventory between order and acceptance. TDPS owns the engineering and manufacturing work, while customer payment terms are largely fixed. Growth therefore has a cash cost even when debt remains modest.

GLOBAL PARALLEL (US / INDIA / EUROPE)

U.S. Cummins connects engine platforms to a broad service network; India's Triveni Turbine coordinates engineered turbine systems with industrial projects; Europe's Voith Hydro works across turbine-generator interfaces. TDPS's direct OEM model is closest in the qualification step, but the annual ₹100 waterfall shows why the cash outcome must be tested separately.

MENTAL MODEL

Follow one order through five states: forecast, confirmed order, work in process, accepted dispatch, collected cash. Backlog lives at stage two; free cash flow appears only after stage five and after capital expenditure.

CHAPTER IV

The Battlefield — Rivals, Switching Costs & Moat Reality

> *"A moat is a customer's reason not to requalify."*
>
> — RESEARCH DESK (ORIGINAL EPIGRAPH)

You and I should define the moat narrowly. TD Power Systems is not the owner of the gas turbine, the data centre, the hydro project or the grid. It is a specialist supplier of a rotating electrical machine whose design has to match a prime mover, a customer's test protocol and the site where the equipment will run. Once a generator design is qualified for an OEM platform, engineering familiarity, test history, delivery performance and failure risk can raise the switching cost. Those are real advantages. They do not create a legal monopoly, and they do not prevent customers from qualifying another supplier when capacity, price or delivery disappoints.

The first moat layer is application engineering. A high-speed gas turbine generator sees different centrifugal forces from a hydro machine turning at 600 rpm. A traction motor lives with vibration, repeated load changes and tight packaging. TDPS's product pages describe different rotor, stator, mounting and test requirements; the FY26 report points to more than two decades of manufacturing and a UK R&D branch developing larger generators. Competitors must reproduce not just a drawing but the experience that lets a machine pass a customer's qualification and run reliably in a real plant. A design asset matters only when it translates into accepted orders, repeat business and warranty performance.

The second layer is qualification and customer access. The company states that it works with major global turbine and engine OEMs, and the annual report records volume gas-turbine orders and new prototype work. Q1 FY27 management said the biggest opportunity is deeper engagement with current customers rather than adding a large number of new ones. That can be a moat if an OEM expands its production line and allocates TDPS more share; it is also concentration risk if one platform is delayed, insourced or awarded to another supplier. FY26's top ten customers represented 84% of consolidated revenue. A high switching cost and high customer concentration can be true at the same time.

The third layer is cost and export competitiveness. Bengaluru production combines skilled labour and local supply chains with machines large enough to process heavy rotors and stators. Exports and deemed exports were 79% of FY26 order inflow, while exports made up 66% of standalone FY26 sales. That gives the company access to demand pools beyond Indian industrial capex, but it also links results to freight, tariffs, FX and customers' overseas project schedules. The Q1 call's 93% export share of that quarter's order inflow is strong evidence of global demand; it is also evidence that TDPS is exposed to a small number of global project cycles.

Pricing power is less complete than the bull story sometimes implies. Management has described customer price-variation clauses, hedges and price increases, yet also said abrupt material-cost surges cannot be fully passed through at once. The Q4 FY26 gross-contribution margin range of roughly 33–34% is a useful historical reference, not a floor. In that same year, a delayed Turkey delivery led to an unusually high liquidated-damages penalty on one contract and reduced consolidated margins. The event was described as one-off, but it illustrates the mechanism: a missed delivery date can transfer value to the customer even when the underlying machine remains technically sound.

Competition is layered. The global generator field includes large diversified manufacturers and specialist electrical-machine makers; the company itself has cited Siemens, Baker Hughes, Mitsubishi, Fuji Electric and Toshiba as significant players in large generators. In India, Triveni Turbine is adjacent through steam systems, while Bharat Bijlee, CG Power, BHEL, Cummins India and ABB compete across motors, power equipment and industrial electrical systems. Not every name competes for every TDPS order. The relevant rival depends on rating, prime mover, voltage, location, service coverage, delivery slot and customer qualification. That is why a peer P/E table is context, not a pure-play valuation formula.

The bull steelman says the equipment shortage is structural enough to extend the cycle. AI data centres need power faster than new grid connections can arrive; gas engines and turbines can provide dispatchable generation; grid stabilisation and industrial electrification widen the use cases; and renewable build-out creates hydro, geothermal, biomass and waste-heat niches. TDPS already has the OEM interfaces, reports strong order inflows and has a

₹600-crore QIP to fund expansion. If the large OEMs increase output and TDPS delivers on time, greater factory loading can support operating leverage without a proportionate rise in overhead.

The bear steelman says the current demand narrative can outrun its proof. Some data-centre orders depend on project financing, grid availability, gas supply and the return on AI infrastructure. A generator shipment is not the same as a commissioned data centre, and one delayed customer schedule can shift revenue. Top-ten customers already provide 84% of group revenue; export orders dominate; gross material exposure is high; and FY26 FCF was only about ₹18 crore after working capital and capex. The QIP alleviates near-term funding risk but dilutes existing shareholders and cannot guarantee attractive returns on the proceeds. If order conversion normalises, today's earnings multiple can contract even if the company remains profitable.

There are instructive parallels on three continents. In the U.S., Baker Hughes has publicly described a sharp rise in data-centre-related power orders, showing that the theme is real while reminding us that even a large prime-mover supplier must execute a complex backlog. In India, Triveni Turbine has built a durable business around industrial steam and aftermarket opportunities; its narrower technology focus shows how specialisation can compound, but its economics do not map one-for-one onto TDPS. In Europe, Siemens Energy and Voith show that platform qualification and engineering reputation are valuable, while project penalties and capacity bottlenecks can still dominate a year's margin. These are analogies, not forecasts for TDPS.

For a learning hub, start with TDPS's own factory and product pages, then compare its FY26 report with the Q1 FY27 presentation and the verbatim Q1 call. For the global demand context, read Baker Hughes's 2025 report and Siemens Energy's 2025 annual report; for Indian industrial turbine economics, use Triveni Turbine's FY26 annual report. These sources let you distinguish company claims from order data, and component demand from a broad addressable-market number. The useful question after every presentation is: which of these forecasts has become a signed order, a dispatched machine, a receivable, then cash?

Our moat conclusion is qualified. TDPS has meaningful engineering, qualification and customer-relationship advantages in a market where a failure can be expensive and a new

supplier must prove itself. Its moat is not customer ownership, pricing freedom or recurring service revenue. The strongest proof will be repeat OEM awards, on-time dispatch, stable gross contribution and cash conversion that improves alongside growth. The moat weakens if customers diversify supply, if larger machines require a capital burden beyond the QIP, or if working-capital needs rise faster than retained earnings. That sets up Chapter 5: the leading KPIs are not just order book and capacity; they are the conversion checkpoints between them.

A moat can erode without a dramatic product failure. An OEM may multi-source to protect its own delivery schedule; a competitor may add balancing, machining or test capacity; a new prime mover can change the generator interface; or a customer can redesign its package to favour a larger incumbent. Qualification lowers the probability of a sudden switch, but it does not freeze market share. At Q1 FY27, management said it saw little scope for new major customer additions and expected more of the opportunity to come from deeper engagement with existing customers and a growing market. That is a strength when those programmes expand, but it also means the company's incremental growth is tightly linked to the plans of its current buyers.

The learning hub should therefore be read with a sceptic's pencil. Start with the company's generator catalogue, then compare the FY26 annual report's order and capacity discussion with the Q1 FY27 presentation. Read the Q1 transcript around the customer, rail and working-capital questions, not only management's opening remarks. Compare Triveni Turbine's report to understand captive steam and waste-heat applications; read Siemens Energy and Baker Hughes to see what global prime-mover makers say about power-generation demand. A product brochure explains capability; an audited report explains cash; a call transcript reveals where management declines to give numbers. Each source answers a different question.

> **NARRATOR'S REFLECTION**
>
> Qualification is valuable precisely because repeating it costs time and creates risk. But you should not turn that friction into a claim of permanent lock-in: buyers can multi-source, renegotiate and redesign when capacity or delivery fails.

GLOBAL PARALLEL (US / INDIA / EUROPE)

In the U.S., Baker Hughes competes on power systems and turbine technology; in India, CG Power and Triveni Turbine show adjacent motor and turbine capabilities; in Europe, Siemens Energy and Voith bring deep platform histories. These examples show a large competitive field around TDPS, not a set of exact head-to-head matches.

MENTAL MODEL

Moat = engineering difficulty × qualification persistence × customer repeat demand. Reduce the score when pricing is weak, a customer can dual-source, or the supplier must fund long receivable cycles.

CHAPTER V

Management on Trial — Leading KPIs & Walking the Talk

> *"A forecast is a hypothesis that invoices must test."*
>
> — RESEARCH DESK (ORIGINAL EPIGRAPH)

You and I need a short dashboard that predicts the income statement before it arrives.

For TD Power Systems, the first leading indicator is order inflow by product and geography, not the headline backlog alone. FY26 order inflow was ₹2,238.5 crore; exports and deemed exports were 79%. Q1 FY27 brought ₹734 crore of inflow, 93% export and deemed export, while the reported manufacturing book reached ₹2,208 crore. Those figures show demand and booking strength, but they do not tell us when each order will ship, whether the order contains a cancellation clause, or how much cash has been collected in advance.

The second KPI is book-to-bill and backlog age. TDPS ended FY26 with ₹1,972.9 crore of pending orders, then had a larger book by June. Management has said the FY26 book was expected to execute within FY27, and later raised the FY27 revenue guide. A healthy conversion rate should show up in quarterly revenue and dispatch volume without an unusual rise in overdue receivables, inventory or contract assets. Ask management not only "how large is the order book?" but "how much is scheduled for this financial year, what slipped, what has shipped, and how much remains subject to acceptance?" The public disclosures do not give a full project-by-project age schedule.

The third KPI is cash conversion. In FY26 consolidated results, PAT was ₹238.8 crore and CFO ₹129.1 crore; the five-year FY22–FY26 cumulative CFO was approximately half of cumulative PAT. The balance sheet at March 2026 carried ₹742 crore of trade receivables and ₹503 crore of inventory. Days metrics from the current consolidated series show debtor days rising from 125 in FY25 to 146 in FY26, while the cash-conversion cycle improved from 189 to 173 days because inventory and payable movements partly offset the receivables stretch. You should read these together: one improving cycle metric does not erase a rising receivable burden.

The fourth KPI is gross contribution and factory loading. Management's Q4 FY26 call described consolidated gross contribution around 33–34%, but operating margin is a different measure after employee costs, other overhead, finance, depreciation and other income. Management attributes margin stability to a blend of pricing, cost reduction, product mix, currency and utilisation. We should track the reported margin and the bridge behind it, not assume that growth in high-value gas-generator orders automatically lifts margin. A one-off shipping delay in Turkey incurred a substantial liquidated-damages penalty; high customer service levels can preserve repeat orders while exposing margins to delivery risk.

The fifth KPI is qualification throughput. FY26 had prototype orders from a global gas-engine OEM, qualification work for motor programmes in the U.S. and Europe, and development work for larger generators. A prototype is an option on future volume, not revenue already won. Record the number of new designs accepted, the date of first serial order, and whether the qualification expands within the same customer. Management said that in rail it was no longer taking fresh orders and would review sustainability after completing the existing contract. That is a useful example of capacity reallocation: the same floor space can be moved to generators and motors, but only if equipment, skilled labour and test infrastructure are fungible.

The sixth KPI is capacity and capex. The company's Q1 FY27 call described approximately ₹500 million of debottlenecking for an FY28 revenue-capacity envelope around ₹3,200 crore, with a longer-term direction above ₹4,000 crore (₹40 billion). Management also said the FY27 revenue guide was ₹2,600 crore with a small chance of exceeding it. These are two different statements: one is a near-term sales guide; the other is a capacity plan. The ₹600-crore QIP completed in October provides a larger funding pool after the June balance sheet, but until the company reports deployment, capex, post-issue cash and returns, we cannot attribute a specific capacity uplift to the proceeds.

Now let us audit guidance without giving management credit twice. FY26 audited sales were ₹1,856.2 crore and profit after tax ₹238.8 crore. In the May 2026 Q4 call, management set an initial FY27 revenue expectation around ₹2,400 crore and discussed the strong order pipeline. In the August Q1 FY27 call, after a strong first quarter and higher order inflow, it

raised the guide to ₹2,600 crore. That is a positive revision supported by bookings; it is not yet a delivered result. The annual report's FY26 guidance of ₹2,400-plus for FY27 and the Q1 revision show adaptive forecasting, while the investor must still wait for the audited FY27 execution record.

On cash, management's commentary has been candid but not yet conclusive. The CFO said inventory build would convert to cash in the following quarter; the managing director said customer payment terms could not be changed dramatically without risking the business. In Q4, he put the point plainly: "all our retained earnings are basically going into working capital." The later ₹600-crore QIP is consistent with a business planning for working-capital and growth needs, but the October allotment occurred after Q1 results. We do not yet have a post-QIP quarterly cash-flow statement at the 8 November cutoff, so we cannot tell how much was committed, spent or retained.

The global comparison helps you pick leading indicators correctly. In the United States, Cummins and Baker Hughes each discuss order and backlog visibility in businesses where the equipment-maker's schedule depends on customer project execution. In India, Triveni Turbine's order inflow and execution data remind us that power-equipment books convert over quarters, not days. In Europe, Siemens Energy's backlog and capacity plans show that a large order pipeline can coexist with component bottlenecks and project risk. For TDPS, watch three transitions: prototype to serial award, order book to dispatch, and PAT to CFO.

The latest-call CFO quote is just as important as the MD's answer. M. N. Varalakshmi said: "Yes. Actually, working capital will continue to remain on the same line because we see a significant growth from last year to this year and on the current liabilities, yes, there are customer advances and also the provision for taxation because of the increased volume of business." This is a verbatim explanation of why growth can hold cash even when the profit line rises. The MD's Q1 statement that "We have payment terms fixed with our customers" supplies the other side: the terms are not a free lever management can reset at will. Together, the two quotes make CFO/PAT and debtor days essential KPIs, not optional presentation detail.

A historical promise gives us one delivered test. In the Q4 FY25 call on 13 May 2025, Nikhil Kumar said: "We give our initial guidance at INR1,500 crores with a strong upward potential

given the sustained order inflow as well as the third plant commission coming on stream in H2 of this financial year." FY26 later reported ₹1,716.7 crore standalone sales and ₹1,856.2 crore consolidated sales, both above ₹1,500 crore. The guidance passage does not specify standalone versus consolidated basis, so we record delivery above the initial number but do not claim a precise like-for-like beat percentage. That positive historical result does not validate the current ₹2,600-crore guide before FY27 is audited.

The walk-the-talk verdict is "credible demand, unproven cash outcome." The rise from ₹2,400 crore to ₹2,600 crore in FY27 guidance is backed by order momentum, and the capex plan is relatively modest against reported scale. Yet the cash cycle is the gating variable: new orders must not simply create another round of inventory and receivables. If quarterly sales approach guidance while CFO/PAT remains weak and debtor days continue rising, the quality of growth is lower than the headline suggests. If CFO catches up, customer concentration moderates, and the QIP funds capacity with attractive incremental returns, the bull case gains evidence. That leads to Chapter 6, where we follow every rupee across ten years rather than relying on a single quarter's guidance.

We can make the guide audit more explicit. FY26 delivered ₹1,856 crore of consolidated sales and ₹239 crore PAT; the Q4 call's first FY27 revenue guide was around ₹2,400 crore, then Q1 raised it to ₹2,600 crore. The increase is a revision, not yet a track record of delivery. Management also described about ₹734 crore of Q1 inflow and an expected quarterly run rate near ₹700 crore, but Q1 order inflow can be lumpy. At the same call the company said the then-existing capacity could support about ₹3,200 crore in FY28 after roughly ₹50 crore of debottlenecking. These are different metrics—annual revenue guide, quarterly order intake and nameplate capacity—and must not be substituted for one another.

Three milestones will tell us whether the forecast is walking toward us. First, revenue must rise without gross contribution slipping materially from the stated 33–34% historical band. Second, working capital must not grow faster than revenue; the Q1 discussion of fixed payment terms means collection gains may be incremental rather than a management lever that can be pulled overnight. Third, new designs must convert from prototype to serial orders while existing plants deliver on schedule. Management has supplied direction on

each, but Q2 and Q3 results after the report cutoff are needed to test them. We do not score a future goal as achieved simply because the capacity plan is plausible.

The KPI dashboard separates demand from delivery and delivery from cash. The order book leads revenue, but receivables and inventory decide whether growth is self-funded; the next scorecard checks whether management's guide has crossed from forecast into audited results.

NARRATOR'S REFLECTION

You and I should reward management for an evidence-backed guide revision, not for repeating the guide. The Q1 increase to ₹2,600 crore is a positive signal; the test is the audited revenue and cash that arrive by year end.

GLOBAL PARALLEL (US / INDIA / EUROPE)

U.S. Cummins and Baker Hughes track orders and capacity in project-linked power markets; India's Triveni Turbine shows how inflow turns into execution over quarters; Europe's Siemens Energy illustrates how backlog can be high while factories and suppliers remain constraints. For TDPS, the useful leading KPI is conversion, not the size of the headline alone.

MENTAL MODEL

Measure the funnel: bookings → executable backlog → production → dispatch → invoice → cash. A bottleneck at any step turns a demand forecast into working-capital exposure rather than shareholder return.

CHAPTER VI

Following the Cash — 10-Year Financials & Earnings Quality

> *"Profit is a statement; cash is a sequence."*
>
> — RESEARCH DESK (ORIGINAL EPIGRAPH)

You and I now follow the cash through the full cycle, because the income statement is only half of TD Power Systems' story. Over FY17–FY26, the consolidated business moved from a demand trough to record scale: sales rose from ₹380 crore to ₹1,856 crore; operating margin moved from roughly 2.8% to roughly 18%; and PAT improved from a ₹4-crore loss to ₹239 crore. The path had pauses and large swings in cash, not a straight line. Read this ten-year record as proof of recovery and operating leverage, then ask whether the recent growth can fund itself.

The P&L expansion is clear. Sales were ₹872 crore in FY23, ₹1,001 crore in FY24, ₹1,279 crore in FY25 and ₹1,856 crore in FY26. Operating profit increased from ₹134 crore to ₹171 crore, ₹235 crore and ₹335 crore over those years. Net profit reached ₹239 crore in FY26, while the latest TTM snapshot through June 2026 showed approximately ₹2,124 crore of sales and ₹275 crore of PAT. The higher scale has supported high-teen operating margins and a reported FY26 ROCE of 34%. This is a substantial improvement from the low-utilisation period, but the FY26 record includes both a strong market and a favourable export/product mix; it should not be projected mechanically.

The annual table in the dossier gives ten years of sales, operating margin, PAT, cash from operations and free cash flow. Two features deserve more attention than a single CAGR. First, margins were only about 2–3% in FY17–FY18 and recovered as volumes returned; this tells you that fixed-cost absorption matters. Second, reported CFO and free cash flow have been volatile: FY25 produced about ₹40 crore of CFO and negative ₹16 crore of FCF despite ₹175 crore of PAT; FY26 improved to ₹129 crore CFO and roughly ₹18 crore FCF against ₹239 crore of PAT. The cash result is better, but the gap remains material.

The five-year cumulative comparison is less flattering than the latest quarter. FY22–FY26 PAT sums to about ₹699 crore, while CFO sums to about ₹353 crore, so only around half of

accounting profit has appeared as operating cash across that span. The FY26 audited consolidated cash-flow statement records ₹347.5 crore of operating profit before working-capital changes. Receivables, inventory and other working-capital movements reduced cash generated from operations to ₹196.3 crore; cash tax then left CFO at ₹129.1 crore. Capital investment of approximately ₹110.7 crore reduced free cash flow to about ₹18.4 crore. This is the core earnings-quality issue: customers' growth consumes cash before those invoices settle.

At March 2026, consolidated trade receivables were ₹742 crore and inventories ₹503 crore, up from ₹437 crore and ₹377 crore respectively a year earlier. Cash and cash equivalents were ₹78 crore and other bank balances ₹120 crore; short-term borrowings were about ₹18 crore. The balance sheet therefore entered the FY27 ramp with low financial debt and a reasonable liquidity base, but the cash figure alone understates the amount tied up in the operating cycle. In June, management cited roughly ₹240 crore of cash; that quarter-end figure preceded the October QIP. We do not roll the June balance forward or assume the QIP proceeds remain untouched.

The days metrics explain where cash sits. Debtor days were 112 in FY24, 125 in FY25 and 146 in FY26; inventory days were 139, 165 and 148; payable days were 78, 101 and 121. The net cash-conversion cycle therefore peaked around 189 days in FY25 and improved to 173 in FY26, yet the receivables component worsened. A longer payable period helped offset inventory and debtor investment, but suppliers cannot fund an unlimited ramp without consequences for terms or resilience. Management has said contract payment terms are substantially fixed. The investor's question is whether customers' advances and payment schedules rise with order size, and how quickly work in process becomes accepted, invoiced and collected.

Consolidated and standalone results should not be mixed. FY26 standalone sales were ₹1,716.7 crore and PAT ₹216.4 crore; consolidated sales were ₹1,856.2 crore and PAT ₹238.8 crore. Subsidiaries in the U.S., Europe and Turkey affect consolidation, and the Turkey operation can add both customer support and execution cost. The company reported one operating segment for accounting purposes, so there is no auditable public segment margin bridge for gas generators, steam generators, hydro, motors or rail. Product-wise

narrative and order-book components are useful for demand analysis, not substitutes for segment P&Ls.

Capital spending is moderate in relation to the growth ambitions but not trivial. FY26 payments for property, plant and equipment and work in progress were around ₹104 crore, with further payments for intangible assets and leasehold land. The FY26 report describes a third manufacturing facility and investment in capacity; management later discussed a further ₹50-crore debottlenecking effort for an output capacity near ₹3,200 crore. A larger-generator programme may need specialised machinery and longer lead times, which the company has said could take roughly 18–20 months to manufacture large machines. The QIP proceeds of nearly ₹600 crore give management funding flexibility; until the company discloses deployment and return, we should treat this as capital available, not capital already earning a return.

Share dilution is the other balance-sheet bridge. At 31 March 2026, paid-up capital was ₹31.37 crore shares of ₹1 face value after employee share allotments. The October QIP added 77.4 lakh shares and raised the total to 32.14 crore shares. Existing holders now own a smaller proportion of the company than before the issue. If the new cash finances capacity or working capital that earns an attractive return, dilution can be accretive in value; if the funds merely finance slow collections or underused assets, per-share growth will lag headline sales growth. At the issue price of ₹775, QIP investors accepted a modest discount to the regulatory floor; the post-issue market later traded lower, so the issue price is not a guaranteed support level.

The global parallels sharpen the test. U.S. industrial suppliers such as Cummins can show strong margins while cycles in engines and power generation dictate working capital. Indian capital-goods firms such as Triveni Turbine show that order growth can lead revenue by several quarters. European engineering groups such as Siemens Energy show that backlog can be enormous and still require disciplined cash management, supplier capacity and milestone execution. For TDPS, the best evidence of compounding will be a multi-year rise in CFO that tracks PAT, stable receivable days, restrained inventory days and incremental ROCE above the cost of equity—not just another record book.

Our forensic verdict is “improving, not yet proven.” The balance sheet was strong enough to support the business before the QIP, and the QIP materially increases funding capacity. The most concerning signal is not debt; it is the amount of working capital and capex needed to translate 18% operating margins into free cash. If two or three subsequent quarters show that receivables unwind and cash catches up, the bull case earns credibility. If sales and order book rise while the cash gap widens, growth will need more capital and may dilute per-share returns. Chapter 7 turns that test into valuation: the stock price already assigns a high value to future earnings, so cash conversion is not a footnote—it is part of the price.

The balance sheet also contains a choice between operating resilience and reported liquidity. At FY26 year-end the consolidated group had roughly ₹78 crore in cash equivalents and ₹120 crore in other bank balances, against ₹18 crore in short-term borrowings; supplier payables and other operating liabilities were much larger, as expected in a manufacturing business. Those balances cannot be summed into a single “free cash” number without checking restrictions, currency and committed uses. The June quarter management statement cited ₹240 crore of cash before the QIP. The October placement added gross proceeds of ₹600 crore, but no post-placement cash-flow statement had been released by 8 November. We therefore do not claim that the full issue amount remained in cash.

Working capital is not a one-line ratio but a set of competing flows. FY26 receivables absorbed about ₹288 crore of consolidated cash year-on-year; inventory absorbed about ₹126 crore; supplier payables contributed about ₹178 crore; and other operating balances changed as well. That is why the CFO can report healthy margins while CFO lags. The cash-conversion cycle at 173 days is an improvement from FY25, but debtor days rose to 146. The company may collect a large invoice in the next quarter and reverse the pressure; it may also ship more and have to finance another cycle. Quarterly cash flows will be volatile, so use a rolling multi-quarter comparison rather than treating one quarter as proof.

Per-share forensics now need the post-QIP denominator. The October allotment lifted paid-up shares from 31.37 crore to 32.14 crore (32,14,48,795 shares), a roughly 2.5% increase. The gross issue proceeds were nearly ₹600 crore at ₹775 per share. The capital can preserve customer continuity and support larger orders, which is potentially preferable to debt if operating returns exceed the dilution cost. But the test is earnings per share and free cash

flow per share after the capital is deployed. If sales rise 40% while receivables and shares rise too, the headline growth rate will overstate the benefit to an existing shareholder.

NARRATOR'S REFLECTION

The improvement from losses to high-teens margins is real. The remaining question is not whether accounting profit exists; it is how much cash the company must retain to finance the next order cycle and whether the new capital earns more than its cost.

GLOBAL PARALLEL (US / INDIA / EUROPE)

U.S. industrial suppliers such as Cummins show that working capital moves with engine and power-system growth; India's Triveni Turbine provides a focused equipment comparison; Europe's Siemens Energy demonstrates that a record backlog can coexist with cash and delivery demands. TDPS's own FY26 CFO-to-PAT bridge is the relevant benchmark.

MENTAL MODEL

Track per-share cash, not just consolidated sales. PAT must first survive working-capital investment, taxes, maintenance and growth capex; only then can the remaining cash compound for each share.

CHAPTER VII

Why the Stock Trades Here — Market Expectations vs. Peers

> *"Price is a promise about the years not yet filed."*
>
> — RESEARCH DESK (ORIGINAL EPIGRAPH)

You and I begin valuation with the question the market is answering: what future earnings and cash flow justify a company whose current price is around ₹612 and whose trailing earnings multiple is about 70×? The current Screener snapshot lists market capitalisation near ₹19,598 crore and a 71.3× P/E; the TradingView block gives a slightly lower 69.5×. We use the Screener figure as the headline and disclose the feed difference. At FY26 audited PAT of ₹238.8 crore, the equity value is already many times today's earnings; the investment case therefore depends on sustained growth, not a simple re-rating from a low base.

The previous section showed that reported profit and free cash flow are not interchangeable. FY26 PAT was ₹238.8 crore while audited free cash flow after capex was only about ₹18.4 crore. The reverse DCF here is deliberately generous: we use PAT as a normalized owner-earnings proxy, not as reported free cash flow; discount at a 12% cost of equity; assume 3.5% perpetual growth after year ten; and solve for the constant annual growth in that proxy that makes the present value equal roughly ₹19,598 crore. The answer is about 30.6% a year for ten years. At 25% growth under the same assumptions, the model produces only about ₹13,307 crore. This is not a price target; it is a test of what the current equity value asks you to believe.

That reverse DCF overstates cash-generating power if working capital and reinvestment remain heavy, because it treats PAT as though it could be distributed or reinvested at the same return without a funding burden. The actual FY26 FCF base was much lower. We therefore read the model as an expectations test, not a claim that management must hit precisely 30.6% earnings CAGR. The interpretation is qualitative but important: if earnings growth slows materially, if incremental margin falls, or if cash conversion remains weak, the

current price has less protection than the headline order book suggests. A higher terminal multiple can postpone the test; it cannot remove the cash math.

The base case keeps management's FY27 sales guide at ₹2,600 crore and FY26's 12.86% consolidated PAT margin, producing about ₹334.4 crore PAT and ₹10.40 EPS on 32.14 crore post-QIP shares; 45× gives ₹468.20. The bear case assumes ₹2,300 crore sales and a 10.86% margin, two percentage points below FY26, for ₹249.9 crore PAT, ₹7.77 EPS and 30× earnings, or ₹233.19. The bull case assumes ₹2,800 crore sales and a 13.36% margin, half a point above FY26, for ₹374.2 crore PAT, ₹11.64 EPS and 65× earnings, or ₹756.62. These operating and multiple assumptions are ours, not management guidance; the 45× base multiple is close to selected industrial-equipment peers, while 65× gives substantial credit for superior growth.

The peer table is a map of different businesses, not a league table. Triveni Turbine is closest in capital-goods cyclicality but sells steam turbines rather than TDPS's generators; its snapshot P/E is roughly 45.5× and ROCE 34%. Cummins India sells engines and power systems, with a roughly 49× P/E and 39.5% ROCE. CG Power spans motors and electrical systems, with an approximately 88× P/E and 26.7% ROCE. ABB India is far more diversified in automation and electrification, with approximately 94× P/E and 29.9% ROCE. TDPS's roughly 71× P/E and 34% ROCE sit between these cases. The differences in scale, recurring service, product mix and growth mean none is a perfect multiple anchor. The P/E and ROCE rows use same-date Screener snapshots, while operating-margin and TTM growth fields use same-date TradingView snapshots.

The market can rationally pay a premium for TDPS if three things arrive together: large OEM demand persists, capacity additions convert into billed revenue, and new capital supports a return above the cost of equity. A long-term supply arrangement or a prototype win can increase visibility, but order duration and renewal terms matter. The annual report's top-ten customer concentration of 84% means the equity can respond sharply to a single platform's forecast. In contrast, a peer such as ABB has a broader mix and service base; Cummins has engine platform economics; Triveni has its own turbine niche. A premium is justified only if TDPS's growth and cash conversion compensate for the concentration.

The bear valuation case is not that generators are obsolete. It is that a cyclical industrial supplier is being priced like a long-duration compounder at a point when its free cash flow is thin and its stock has broken intermediate support. FY26 CFO/PAT was only about 54%; the five-year cumulative ratio was about 50%. If the business normalises toward a 15–20% earnings growth rate rather than the 30% owner-earnings path implicit in our base reverse DCF, a 70× multiple can compress even while absolute profit rises. The QIP improves liquidity, but also adds 2.47% shares versus the pre-issue base; revenue growth needs to exceed dilution for existing investors to gain per-share value.

The bull valuation case uses the same facts differently. It argues that FY27's ₹2,600-crore guide is conservative, order inflows are running faster than the FY26 base, and a ₹3,200-crore capacity envelope could be exceeded through debottlenecking. A shortage of turbine and generator slots may give qualified suppliers pricing support. If revenue and PAT compound quickly, cash conversion normalises as projects move from inventory to dispatch, and the market continues to assign a 60–70× multiple, the stock can outperform the base case. The weakness is that each "if" must happen in sequence: the book must execute, capacity must be ready, margin must hold, collections must follow, then investors must retain a premium multiple.

The global parallels warn against transferring multiples too casually. In the United States, a prime-mover supplier can command a premium during a power shortage, but orders and earnings still move with customer capex. In India, Triveni Turbine's premium reflects a different combination of exports, service and turbine technology. In Europe, Siemens Energy's scale and backlog do not eliminate project execution or working-capital risk. TDPS is smaller, more concentrated, and more exposed to a few OEM programmes; the upside is a more focused asset base, but the downside is also less diversified.

Our valuation verdict is that the company may be attractive while the stock is not. At ₹611.90, our 30% bear / 45% base / 25% bull cases weight ₹233.19 / ₹468.20 / ₹756.62 to a probability-weighted value near ₹470. That is about 23% below the current quote before tax and transaction costs. Our base case does not assume a collapse in sales; it assumes FY27 guidance is achieved, FY26 PAT margin holds, and the multiple normalises to 45×. The bull case preserves a growth premium, while the bear case combines slower profit growth with a

30× multiple. We would raise the base value only after more cash reaches the bank and the chart repairs. Chapter 8 checks whether the tape is currently offering that confirmation.

Historical multiples should be handled with the same caution as the DCF. The stock's reported ten-year return is extraordinary, and current price is still well above the 52-week low; that does not mean the present multiple is safe. The company's own earnings record has moved from losses and very low margins to record profit, so a simple average P/E across the whole history would mix different business regimes. We therefore do not present an artificial "normal" P/E band without a verified price-and-earnings series. The useful comparison is forward: what multiple would a buyer pay if FY27 sales guidance is achieved but the multiple returns to the 45× area of selected industrial peers?

Reverse DCF sensitivity moves materially with the cost of equity and terminal growth. A lower discount rate or a higher terminal assumption reduces the implied near-term growth hurdle; a higher rate or lower terminal value increases it. Our 12% / 3.5% case is not a forecast of market returns, and the PAT proxy is deliberately optimistic given FY26's low FCF. If you replace PAT with reported FCF, the DCF collapses because the working-capital and growth-capex cycle has not normalised. The right conclusion is not "the model proves the stock must fall"; it is that the present quote offers little tolerance for a normal industrial slowdown, missed delivery, margin compression or cash conversion below plan.

If price reclaims ₹662.68 and then ₹737.34, while Q2/Q3 results show cash conversion improving, reassess the no-entry timing verdict. If the FY27 guide is cut or the cash gap widens, keep the base value below the current quote and do not raise the multiple.

> **NARRATOR'S REFLECTION**
>
> The reverse DCF is not a prophecy. It is a way for you and me to identify the burden embedded in the price, then ask whether backlog, margins and cash support that burden.

GLOBAL PARALLEL (US / INDIA / EUROPE)

U.S. WEG and Cummins, India's Triveni Turbine and Europe's Siemens Energy trade with different mixes of recurring service, scale and project risk. A peer multiple is a reference point only after those differences are named. TDPS deserves a premium for growth, but not immunity from cash conversion.

MENTAL MODEL

Value is the present worth of future owner cash, not the story attached to a terminal multiple. Raise growth only when delivery and collections confirm it; lower the multiple when concentration or execution risk rises.

CHAPTER VIII

Reading the Tape — Trend, Volume & Momentum Opportunity

> *"A trend is not a business, but it prices the wait."*
>
> — RESEARCH DESK (ORIGINAL EPIGRAPH)

You and I now read the tape separately from the business. As of the completed 8 November 2026 Muhurat session, the market-facts ledger recorded TDPOWERSYS at ₹609.85, up 5.78% on the day after a weak prior session; TradingView's snapshot close was ₹611.90. That small feed difference is visible rather than hidden. The broader move is more important: the facts ledger showed roughly −15% for one week and −23% for one month, while the stock was about 29% below its ₹856.10 52-week high. A bounce in one session does not erase that damage.

The current trend is not a clean Stage 2 breakout. The facts ledger classifies the structure as Stage 3, topping/pullback, with price below the 20-day and 50-day averages but slightly above the 200-day average. The TradingView snapshot places price below its 30-week simple moving average near ₹662.68 and its 50-day simple moving average near ₹737.34; its deterministic entry filter returns AVOID_STAGE4_OR_BROKEN. Meanwhile, the TheWrap snapshot still marks the share as a Stage 2 leader after a long historical run. We do not average those labels. TheWrap describes the prior trend; current price and moving-average structure govern whether a new entry is timely.

Momentum is weak but not yet a capitulation signal. The facts ledger's daily RSI was 35.82, the weekly RSI from the consumer snapshot 46.22, and the TradingView daily RSI 36.18. Daily volume was approximately 0.79× its 20-day average in the ledger and 0.76× its 30-day average in the TradingView block. The price fell sharply while volume was below those reference averages; that is not proof that institutional supply has ended. Relative-strength readings also differ by period: TheWrap reports a positive long-period relative-strength figure, while the 63-day ledger measure is negative. Long look-back leadership and short look-back weakness can coexist.

The average structure identifies the hurdle. The TradingView snapshot's 30-week average was ₹662.68, 10-week EMA ₹685.33, 50-day SMA ₹737.34 and 200-day SMA ₹587.24. The separate facts ledger's 50-day average is ₹739.87 and its 200-day average ₹585.64; this small provider difference is disclosed, and all actionable triggers use TradingView's ₹737.34. The ledger uses Yahoo historical data . The stock is below the faster and intermediate trends but just above the long trend. If it loses the 200-day area and recent swing low, the pullback can become a deeper breakdown. If it reclaims the 30-week average and then the 50-day average with sustained closes and improving relative strength, the structure improves. A one-day move or oversold reading alone is not confirmation.

Support levels are useful only if you keep them in their proper role. The snapshot identifies ₹599.53 as a pivot support and a ₹590.54–₹608.52 support-monitor band; the facts ledger records a 20-day swing low near ₹557.05. The snapshot's ₹577.60 invalidation value is a screen reference. Because the no-new-allocation posture is active, these are watch levels, not broker orders. We will not turn a screen-generated support zone into an instruction to buy a stock below its moving averages. A confirmed reversal would require the stock to hold a support retest and recover the intermediate trend, not merely touch a number.

Institutional flow is not directly disclosed in the company snapshot. The shareholding pattern on the current fundamentals card shows a lower promoter percentage than earlier years and meaningful institutional ownership, but quarterly ownership changes cannot tell us whether the recent decline is exhausted. Nor does a QIP at ₹775 prove that institutions will defend that level: the stock later traded materially below the issue price. The 77.4-lakh QIP allotment and increased paid-up share count are facts about financing and dilution, not a technical support signal. The right momentum question is whether buyers return near support with price, volume and relative strength confirming together.

The technical verdict is therefore "wait; no momentum edge." The long-term fundamentals remain interesting, but the near-term risk/reward is not attractive after a roughly 29% fall from the high and a close below the 30-week and 50-day averages. For an existing investor, the screen's lower support and trend-repair levels are monitoring inputs, not a personalised stop; position size and tax lots are outside this company report. For a new investor, do not chase a green day and do not buy solely because RSI is lower. The technical gate should

reopen only after a durable recovery above ₹662.68 and then ₹737.34, with evidence that selling pressure has eased.

Look at the chart with the business in mind. A strong order book can explain why the market once rewarded the stock; it cannot by itself explain a rapid de-rating. The price may be discounting a lower probability of orders converting, the burden of the QIP, the cash gap or simple multiple compression after a sharp prior run. Conversely, if Q2 results confirm the revenue guide, collection improves and price reclaims its averages, the current pullback could later prove to have been a reset. We cannot know that in advance. The chart contributes timing evidence, while the filings and cash ledger supply the fundamental test.

Our global parallels are deliberately limited. U.S. equipment suppliers can hold long customer backlogs while their shares remain volatile when industrial demand and project schedules change. In India, Triveni Turbine and Cummins India show that high-quality capital-goods names often require patience through support and earnings cycles rather than buying every dip. In Europe, Siemens Energy has demonstrated that a large energy backlog does not immunise a stock from changing expectations. For TDPS, the actionable difference is its small-float sensitivity, concentrated customers and the mismatch between profit and cash conversion; the same technical recovery level should be judged alongside the next cash-flow statement.

The trading plan is exact but conditional: monitor ₹590.54–₹608.52 for support behaviour, use ₹577.60 only as the snapshot's invalidation reference, and authorise no fresh entry until price recovers the 30-week and 50-day averages and holds a retest. If price closes below the ₹557.05 swing-low area, treat the technical thesis as weaker, not cheaper. If it rises into the ₹662.68–₹737.34 trend band without improving cash evidence, do not assume a breakout is durable. Chapter 9 combines those price gates with the bull and bear cases to make the final action plan.

This is a cross-source classification problem, not a reason to cherry-pick. One screen still displays the stock as a top Stage 2 leader with a long prior run; the price-based ledger calls it Stage 3 and the TradingView entry filter says avoid a broken Stage 4-style setup. What is common is more useful than the label: the price has undercut the 30-week and 50-day trend lines, weekly and monthly returns are weak, and the short-term relative-strength measure

has turned negative. We weight current price structure for entry timing and keep the historical leader tag as context only.

The market date deserves one sentence because it is unusual. NSE conducted a special Diwali/Muhurat session on Sunday, 8 November 2026; the final daily bar was present in the facts ledger after the session. Therefore the report's as-of date is not a weekday proxy. It is the verified special session, and the price and indicator readings are dated to that session rather than to the following Monday's calendar date.

NARRATOR'S REFLECTION

You can be right about the factory and early about the share. The technical gate protects you from paying the full premium while the market is still repricing growth and cash risk.

GLOBAL PARALLEL (US / INDIA / EUROPE)

U.S. equipment shares can move with turbine order cycles; Indian capital-goods names such as Triveni Turbine can lead for long periods and then correct; European energy suppliers such as Siemens Energy can retain backlog while their prices reset. The lesson is not to copy their chart, but to demand confirmation in TDPS's own price and volume.

MENTAL MODEL

Separate trend, momentum and location. A long-term Stage 2 history does not cancel a current Stage 3 pullback; a support touch does not cancel a falling average; an oversold reading does not create a buy trigger.

CHAPTER IX

Bull vs. Bear, Likely Outcomes & Our Action Plan

> *"Confidence is cheapest before the evidence; discipline is most valuable after."*
>
> — RESEARCH DESK (ORIGINAL EPIGRAPH)

Y and I can now put the strongest honest bull case on the table. TD Power Systems is a specialist supplier in an industry where qualified generator capacity is tight. FY26 revenue rose to ₹1,856 crore, the order book reached ₹1,973 crore, and Q1 FY27 order inflow was ₹734 crore with 93% from exports and deemed exports. The company has existing relationships with major prime-mover OEMs, and a U.S. gas-turbine customer ordered generators for data-centre applications. If engine and turbine manufacturers expand production, TDPS can grow with them without having to win every end customer itself. Its own manufacturing and test capability, established export relationships, and a recently completed QIP offer capacity and funding options.

The bull is strongest when it is specific. Gas-engine and gas-turbine products are benefiting from the need for dispatchable power where grid connections are delayed. Steam machines retain demand from captive plants, biomass and waste heat; hydro refurbishment can add projects with different cycle timing; motors broaden the factory's addressable work; and larger machines may eventually increase average contract value. Management raised FY27 revenue guidance to ₹2,600 crore, compared with FY26 sales of ₹1,856 crore, and discussed an FY28 capacity envelope near ₹3,200 crore. If the order pipeline sustains, customers take deliveries, gross contribution stays near its historical range and working capital unwinds, operating leverage could lift profit faster than factory cost.

Now let us steelman the bear without caricature. First, demand may be concentrated in a few global OEM programmes and in the data-centre build-out. The company does not disclose order-book application splits, and top ten customers accounted for 84% of FY26 consolidated revenue. A pause by one or two OEMs could affect capacity utilisation even if broad power demand remains strong. Second, orders are not cash. The FY26 cash-flow statement shows ₹238.8 crore PAT but only ₹18.4 crore FCF after working capital and

capital investment; receivables and inventory absorbed cash. Management itself has said payment terms cannot be materially renegotiated. Third, the QIP adds capital and shares, but the return on that capital is not yet visible.

The bear also has a timing argument. A generator can be delivered while a data-centre campus is delayed; the order can remain valid, but dispatch, commissioning and cash collection may shift. Commodity prices can rise faster than price clauses reset. Turkey's Q4 execution issue showed that a shipping delay can create liquidated damages even if the core machine is sound. The rail segment is under review and not taking new orders, while domestic steam demand is steady rather than explosive. None of these facts disproves the growth thesis; together they show why the company's FY27 guide should be treated as a hurdle, not as a base fact already earned.

Our independent judgment assigns the highest weight to repeat execution and cash rather than to broad AI headlines. We accept the bull's evidence that order demand and export penetration are real. We also accept the bear's evidence that the business is customer-concentrated, working-capital-intensive and currently valued for long-duration growth. The company is good enough to remain on our research list; the stock is not attractive enough to buy while it sits below intermediate trend support and trades near 70× trailing earnings. This is a price-versus-business distinction, not a claim that demand has peaked.

The scenario table uses distinct operating assumptions. The base keeps management's ₹2,600-crore sales guide and the FY26 net margin of about 12.86%, giving roughly ₹334.4 crore PAT and ₹10.40 EPS on 32.14 crore post-QIP shares; 45× gives ₹468.20. The bear assumes ₹2,300 crore sales and a two-point margin fall to 10.86%, giving ₹249.9 crore PAT, ₹7.77 EPS and 30× earnings, or ₹233.19. The bull assumes ₹2,800 crore sales and a half-point margin gain to 13.36%, giving ₹374.2 crore PAT, ₹11.64 EPS and 65×, or ₹756.62. At 30% / 45% / 25% probabilities, the weighted value is about ₹470 versus the ₹611.90 snapshot close. The cases are our sensitivities, not management guidance.

Short term—one to twelve weeks—the verdict is AVOID NEW ENTRY. The facts ledger calls the trend Stage 3, the TradingView timing filter is AVOID_STAGE4_OR_BROKEN, and price is below the 30-week average around ₹662.68 and 50-day average around ₹737.34. Monitor the ₹590.54–₹608.52 support zone, but do not treat a touch as a buy. A durable

reclaim of the 30-week average, followed by the 50-day average and a successful retest, would improve timing; a move below the ₹557.05 swing area would weaken it further. These are market-data reference levels, not personal broker orders.

Medium term—three to eighteen months—the verdict is WATCH FOR EXECUTION, CASH AND TREND REPAIR. Q2 FY27 results were scheduled for the board meeting on 12 November 2026 but were not yet available at the cutoff. Reconsider after those results and the next one or two quarters show whether ₹2,600 crore of FY27 revenue is achievable, whether the post-QIP funding is supporting productive capacity and working capital, whether receivables stabilise, and whether cash follows PAT. If orders remain strong but receivable days and inventory continue to expand, reduce the probability of the bull scenario rather than simply raising the target multiple.

Long term—three to ten years—the verdict is QUALITY BUSINESS, PRICE NOT YET COMPELLING. TDPS has engineering, qualification and export advantages, and the electrification and reliable-power themes can support a long runway. But the single reported segment, customer concentration, low FY26 FCF, declining promoter ownership and need for further capacity investment mean the long-term thesis must be proven through per-share cash earnings, not revenue alone. We would revisit a long-term compounding case if the company reports several years of rising CFO alongside PAT, ROCE remains high after new capital is deployed, customer concentration eases or the valuation offers a better margin of safety. At the current price, we prefer to wait.

The no-FOMO plan follows those verdicts. The snapshot's ₹590.54–₹608.52 band is a support-monitor range; ₹577.60 is a screen invalidation reference. A trend-repair trigger is a close and hold above the 30-week average near ₹662.68, then above the 50-day average near ₹737.34, with improving relative strength and no renewed cash deterioration. A fundamental trigger is reported cash conversion catching up with profit while management's revenue guide remains intact. A failure trigger is a breakdown below the recent swing-low region, a material guide cut, another large delivery penalty, or continued working-capital expansion without higher CFO. No single trigger is sufficient by itself.

The parallels remain instructive rather than predictive. In the U.S., Baker Hughes shows that data-centre power can become a substantial equipment order stream; it does not show that

every component supplier earns the same margin. In India, Triveni Turbine demonstrates a way for a focused industrial supplier to build exports and service over time; it is not a generator-margin comparable. In Europe, Siemens Energy's backlog illustrates both the value of qualification and the risks of execution. TDPS's opportunity is to become a more important supplier to its customers, not to become any of these larger companies by analogy.

If you remember one point, let it be this: TD Power Systems has earned attention through real engineering capability and real orders, but the current share price still asks for excellent execution. Our action is not to dismiss the company or chase the theme. It is to keep the name under review, demand evidence that backlog becomes cash, and wait for the chart and valuation to offer a better entry. At the desk, that is how you and I keep admiration for the business separate from discipline over the price.

Stress-test the base case before trusting the weighted value. If the FY27 revenue guide is met but margin falls by two percentage points because of copper, freight or delivery penalties, PAT sensitivity falls below our flat-margin estimate. If order inflow stays high but collections remain near the FY26 cadence, the company may need more working capital or another capital raise; per-share value then depends on return on the new funds, not on the order book headline. If a leading OEM shifts production timing, the plant may move from high utilisation to a less efficient load even though long-term demand remains intact. Conversely, if the company collects a large receivable, reduces cycle days, and fills capacity with high-margin repeat programmes, the FY27 guide could be a step rather than a peak. Each path is plausible; the next financial statements distinguish them.

The probability weights are our judgement, not measured odds. We assign 30% to a bear outcome because the combination of high customer concentration, cash absorption and premium valuation creates a path to multiple compression; 45% to base because demand is real but cash and trend confirmation are missing; and 25% to bull because the equipment shortage and OEM relationships could sustain unusually fast growth. The base scenario still assumes the FY27 revenue guide and FY26 margin, so it is not a recession case. The bear scenario does not assume insolvency or technological failure; it assumes slower growth and a 30× earnings multiple. The bull scenario assumes continued rapid earnings expansion and a 65× multiple. If evidence changes, the weights should change before the target prices do.

There are four catalysts worth monitoring. The first is Q2 FY27 revenue and order execution, with the board meeting scheduled for 12 November after our cutoff. The second is disclosure of how the ₹600-crore QIP proceeds are deployed and whether the post-QIP cash balance remains adequate. The third is capacity evidence: debottlenecking completed, higher throughput and no quality or delivery deterioration. The fourth is cash conversion: receivables and inventory should not outrun sales indefinitely. For a new large generator opportunity, prototype and customer agreement must be followed by a purchase order, a production schedule and a delivery; management has said the manufacturing cycle is long. We treat the large-machine option as upside, not as included FY27 revenue.

There are also thesis breakers. A material cut to the ₹2,600-crore FY27 guide would challenge the demand thesis. A second outsized liquidated-damages event would challenge the execution claim. Two or more quarters in which CFO remains far below PAT while receivables and inventory rise faster than sales would challenge earnings quality. A large customer's platform loss, insourcing decision or competing-supplier qualification would challenge the moat. A deeper share-price break below the recent swing-low region would challenge the near-term technical thesis even if fundamentals remained intact. No one indicator ends the long-term case; a cluster of these signals would.

For the short-term trader, our rule is simple: do not buy a falling share because a screen says support. Require price to reclaim the 30-week average around ₹662.68, then the 50-day average around ₹737.34, with a retest that holds and improving relative strength. The ₹590.54–₹608.52 area is a monitor band, and ₹577.60 is a screen reference, not an order. For the medium-term investor, wait for Q2/Q3 evidence that orders are becoming revenue and revenue is becoming cash. For the long-term investor, keep TDPS on the research list but demand a valuation that compensates for concentration and cash intensity, or wait for per-share earnings and FCF to catch up.

The end-to-end parallels reinforce the discipline. A U.S. data-centre generator supplier can see enormous demand while still carrying a project schedule risk. An Indian turbine maker can compound through exports while remaining tied to industrial capex. A European power-equipment group can enjoy decades of qualification advantage yet suffer from execution penalties. For TDPS, we should not import any peer's margin or terminal multiple; we should

use those histories to ask better questions about backlog quality, customer concentration, service mix and cash.

Our final verdict is unchanged across the five editions: REJECTED for a fresh entry at the 8 November price; WATCH for the medium-term execution and cash test; STAY AWAY from long-term compounding at the current valuation until the cash record and margin of safety improve. The business remains attractive enough to study, but our expected 12-month value is below the current quote and its technical structure is weak. If price repairs, Q2 results confirm the guide, and CFO begins tracking PAT, we will revisit. If those conditions fail, a strong product story is not a reason to own an expensive share. That is how you and I separate admiration from underwriting.

If TDPOWERSYS closes above ₹662.68 and holds a retest, move from avoid to watch; only reconsider a new entry after ₹737.34 is reclaimed and Q2/Q3 cash conversion improves. If price breaks the ₹557.05 swing-low area or management cuts the FY27 guide, maintain no allocation; ₹577.60 remains a screen reference, not an active stop.

NARRATOR'S REFLECTION

The best decision is not always a purchase. You and I can respect the company's engineering, preserve the evidence for a future review, and still decline to buy when price and cash do not compensate us for uncertainty.

GLOBAL PARALLEL (US / INDIA / EUROPE)

Baker Hughes in the U.S. demonstrates the scale of data-centre power orders; Triveni Turbine in India shows the potential of a specialised export equipment niche; Siemens Energy in Europe reminds us that backlog and execution risk travel together. TDPS should be judged on its own cash and per-share outcomes, not on the most exciting peer's headline.

MENTAL MODEL

Three gates must open together: the business delivers, cash follows, and the price offers a margin of safety. If one gate closes, wait rather than forcing the conclusion.

Notes, Filings & Primary Sources

1. [1] TD Power Systems FY2025–26 Annual Report. FY ended 31 Mar 2026.
2. [2] TD Power Systems FY2025–26 audited results. 14 May 2026.
3. [3] TD Power Systems Q1 FY2027 results. quarter ended 30 Jun 2026.
4. [4] TD Power Systems Q1 FY2027 earnings-call transcript. 12 Aug 2026.
5. [5] TD Power Systems Q1 FY2027 investor presentation. 11 Aug 2026.
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This Masterclass Companion Book was authored for private study, audiobook narration, and disciplined portfolio execution.

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